



Retirement

Preparing for the golden years can be complex. Most Americans find that they need their own retirement funds to supplement the amount they receive in Social Security benefits.

Social Security

Americans pay a special tax on their income under the Federal Insurance Contributions Act (FICA). Also referred to as the Social Security tax, it is used to fund US social programs. Included is a hospital insurance tax, which is also known as the Medicare tax.

There's a limit on the amount of earnings subject to FICA taxes. In 2016, the limit is \$118,500. So income exceeding that amount is not subject to FICA. So for the year 2016, the Social Security tax rate was 6.2 percent on the first \$118,500 of earned income. The Medicare tax rate is 1.45 percent on the first \$200,000 and 2.35 percent above \$200,000.

Social Security benefits are based on the total of your past earnings. The exact amount you'll get every month when you're eligible is calculated based on a formula that uses the Average Indexed Monthly Earnings (AIME). The formula favors people with lower incomes.

The Social Security system also calculates your benefit based on the age you start receiving money from the system. The longer you work, the more likely you are to have a higher monthly benefit. Benefits are also adjusted for inflation.

A divorced spouse might qualify for survivor benefits if the marriage lasted at least 10 years. But there are other conditions that must be met. For example, the surviving spouse must be unmarried and be 60 years old for survivor benefits and at least 62 for spousal benefits.

It's possible to track your Social Security benefits online. Having access to the amount of your benefit can help you plan how much income will be needed from additional sources when you're older.

IRA and Roth IRA

Some people set up an Individual Retirement Account (IRA). An IRA is an excellent investment in the future. There are two major types of IRAs: Traditional IRAs and Roth IRAs.

Contributions to traditional IRAs are taxed when you withdraw the funds, ideally after retirement. If money is withdrawn before the age of 59½, there might be an additional 10 percent tax to pay.

The point is that your future earnings will be lower than they were when you were in the prime of life and working many hours. So earnings will be taxed at a lower rate in the future. There are limitations to the amount of contributions that can be made each year.

Contributions to a Roth IRA are made after taxes are paid. But once your contributions are in the fund, the interest or investment earnings are tax-free when you retire. To set up a Roth IRA, your income must not exceed the amount that is set by the IRS. This limit depends on how you're filing as well as other factors. For more details, go to www.rothira.com/roth-ira-eligibility.

401(K)

Another type of retirement plan is a 401(K). Taxes on contributions are not paid until its later withdrawn. These plans are sponsored by employers, who sometimes match the employee's contribution as a company benefit. With a 401K, the employee controls how the money is invested.

There are limits to what you can contribute. In 2016, for those under 50, the maximum contribution to the 401K was \$18,000. For those over 50, an additional \$6,000 (up to \$24,000) was allowed.